Money Calculations

Exam code: 0607

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Written by: Naomi C
Reviewed by: Dan Finlay
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Money calculations

What currencies can be used?

- Many different currencies are used
- The **most commonly** used **currencies** are
  - US Dollars ($ or USD)
  - Pounds (£ or GBP)
  - Euros (€ or Euros)
  - It is possible to see other currencies used, with or without their symbols

What might I be asked to do in money calculations?

- Read exam questions carefully to identify **keywords**
  - **Total** or **sum** will mean to **add up**
  - **Difference** or **increase/decrease** in costs will involve **subtracting**
  - Changing from one currency to another (**exchange rates**) will involve **multiplying or dividing**
- Some questions may involve a **combination** of these
  - E.g., Working out the total cost of an energy bill
- Questions that involve money may also involve **other topics** in the course
  - E.g., Fractions, percentages, simple and compound interest etc.

How should I round values in a money calculation?

- Many currencies will be rounded to **two decimal places**
  - Dollars, pounds and euro should all be used to two decimal places
  - Always write **down both decimal places**, even if the second is zero
    - This is particularly important when using a **calculator**
    - 1.4 pounds on a calculator should be written as £1.40
- For a question involving **large numbers** such as the cost of a car

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

judgement

- **Some currencies** have large numbers due to exchange rates
  - These are usually rounded to the **nearest whole number**
  - E.g., £10 is 1246.59 rupees making £100 the same as 12465.9 rupees
    - Rounding the exchange rate to £100 is 12470 rupees would be appropriate

What should I do when money calculations involve more than two decimal places?

- In some contexts money facts may be given to **more than two decimal places**
  - E.g. One litre of petrol in the UK costs an average price of £1.579
- Use **all of the decimal places** given in your **working**
  - Round (to two decimal places or whatever is appropriate) for your **final answer only**

Examiner Tips and Tricks

Use the **information given in the question** to decide how to **round** your final answer.

Check that your answer **matches** the currency in the question.

Worked Example

In his favourite UK fashion store, Thomas buys 4 t-shirts costing £8.50 each and 2 pairs of shorts costing £7.20 each. On his way home Thomas fills his car up with 45 litres of petrol at a price of £1.579 per litre.

Find out how much Thomas spent in total on clothes and petrol.

Answer:

Find the total cost of the t-shirts, shorts and petrol separately
Use the figures as they are given, do not round any at this stage

$$4 \times 8.50 = 34$$
$$2 \times 7.20 = 14.4$$
$$45 \times 1.579 = 71.055$$

Total (add) these amounts

makes sense to round the final answer to two decimal places

Thomas spends a total of £119.46 on clothes and petrol

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